

	suspension, may the corporation prosecute or defend an action, seek a writ of mandate, appeal from an adverse judgment, or renew a judgment obtained before suspension.”[.]”.) The purpose of section 23301 “is to ‘prohibit the delinquent corporation from enjoying the ordinary privileges of a going concern,’ and to pressure it to pay its taxes.” (<i>Id.</i> [citations omitted].) “A suspended corporation can regain its corporate powers by filing all required tax returns, paying the necessary taxes, penalties or fees due, and applying to the Franchise Tax Board for a certificate of revivor. [.] This reinstatement or revivor generally is ‘without prejudice to any action, defense or right which has accrued by reason of the original suspension or forfeiture[.]’” (<i>Center for Self-Improvement & Community Development v. Lennar Corp.</i> (2009) 173 Cal.App.4th 1543, 1553, citing Rev. & Tax. Code § 23305.) Further, “a plaintiff may not take the defendant’s default by virtue of the defendant’s inability to defend due to suspension of corporate powers, where the defendant consummated revival proceedings upon the grant of a continuance.” (<i>Id.</i>) Pursuant to California Revenue and Taxation Code section 23301, “the corporate powers, rights and privileges of a domestic taxpayer may be suspended” if it does not pay its taxes. “The suspension of the corporate powers, rights, and privileges means a suspended corporation cannot sue or defend a lawsuit while its taxers remain unpaid. [Citation.] Once a suspended corporation pays its taxes and obtains a certificate of revivor, however, the corporation may be allowed to carry on the litigation. [Citation.] Its revivor will validate most otherwise invalid prior proceedings in the case. [Citation.]” (<i>Kaufman & Broad Communities, Inc. v. Performance Plastering, Inc.</i> (2006) 136 Cal.App.4th 212, 217-218.) Plaintiff seeks to strike the Cross-Complaint filed by Defendant Gunlei Corporation on the basis that Gunlei is forfeited by the Franchise Tax Board and thus lacks legal capacity to maintain its Cross-Complaint. Gunlei evidently obtained a Certificate of Revivor from the Franchise Tax Board in May, 2026. (See ROA 836 and Secretary of State’s online business search tool.) Therefore, the motion to strike is DENIED. Plaintiffs and Cross-Defendants William and Jennifer Young shall give notice of this ruling.
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13	Midland Credit Management, Inc. vs. Shapiro	TENTATIVE RULING: <u>Motion to Set Aside Default</u> For the reasons set forth below, Defendant Michael S. Shapiro’s motion to set aside the Default entered on April 15, 2026, and the Default Judgment entered on April 24, 2026, is GRANTED. The court ORDERS Defendant to file a responsive pleading to the Complaint on or before June 19, 2026. Code of Civil Procedure section 473, subdivision (d) provides the court may, on motion of either party after notice to the other party, set aside any void judgment or order. Inclusion of the word “may” in the language of section 473, subdivision (d) makes it clear that a trial court retains discretion to grant or deny a motion to set aside a void judgment or order. (<i>Cruz v. Fagor America, Inc.</i> (2007) 146 Cal.App.4th 488, 495.) “Under section 473, subdivision (d), the court may set aside a default judgment which is valid on its face, but void, as a matter of law, due to improper service. [Citations.]” (<i>Hearn v. Howard</i> (2009) 177 Cal.App.4th 1193, 1200.) Defendant contends that the default and default judgment are void because he was not properly served with the Summons and Complaint. According to the Proof of Service, Defendant was personally served with the Summons and Complaint on February 7, 2026, by a registered California process server. (ROA 11) Defendant declares that he was never served with the Summons and Complaint and has never spoken with the process server who signed the Proof of Service. Defendant further declares that he had a dermatologist appointment after work hours and that, to the best of his knowledge, Defendant was not at home at the time the Proof of Service indicates he was served. (Shapiro Decl. ¶¶ 3-4.) Plaintiff did not file an opposition and, thus, failed to meet its burden to show effective service. The Court finds that the Default and Default Judgment are void and orders that they be set aside. Defendant to give notice.
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